Chapter 2: Interest and Investment

Compound interest means interest is earned on both the principal and on the interest already added.
At an interest rate of 7 percent, money roughly doubles in about 10 years according to the rule of 72.
The Rule Of Seventy Two divides 72 by the annual rate to estimate the doubling time of an investment.
An Index Fund holds every stock in a market index, which keeps fees low and spreads the risk.
Diversification lowers risk because a loss in one asset is offset by gains in another asset.
Inflation of 3 percent a year cuts the buying power of cash by about half in 24 years.
An Emergency Fund should cover 3 to 6 months of expenses before you start investing.